On the downside,

BREAK EVEN POINT = ₹900 – ₹65

= **₹835**

On the upside,

BREAK EVEN POINT = ₹1200 + ₹65

= **₹1265**

So, if the price goes below ₹835, we will have losses. Alternatively, if the price goes above ₹1265, we will have losses.

LOSS

As we move ahead of either of these two points (₹900 and ₹1200), we start to incur losses.

Our profits are capped at ₹65, while we may incur unlimited losses if the markets turn out to be highly volatile.

This is why we want low volatility while executing this strategy.

Use the option chain of NSE to practice and get more familiarized with all these strategies that we have been discussing. Try creating payoffs and graphs independently. Getting comfortable with all these strategies is particularly important when you start working on creating your own strategies.